

15-5c Public Ownership

The third policy the government uses to deal with monopoly is public ownership. That is, rather than regulating a natural monopoly run by a private firm, the government can run the monopoly itself. This solution is common in many European countries, where the government owns and operates utilities such as telephone, water, and electric companies. In the United States, the government runs the Postal Service. The delivery of ordinary first-class mail is often thought to be a natural monopoly.

Economists usually prefer private to public ownership of natural monopolies. The key issue is how the ownership of the firm affects the costs of production. Private owners have an incentive to minimize costs as long as they reap part of the benefit in the form of higher profit. If the firm's managers do a bad job of keeping costs down, the firm's owners will fire them. By contrast, if the government bureaucrats who run a monopoly do a bad job, the losers are the customers and taxpayers, whose only recourse is the political system. The bureaucrats may become a special-interest group and attempt to block cost-reducing reforms. Put simply, as a way of ensuring that firms are well run, the voting booth is less reliable than the profit motive.